

Image



Title

2011 Full Year Roadshow

Page-text

Paul Bulcke
Chief Executive Officer

Page-text

Jim Singh
Chief Financial Officer

Page-text

Wan Ling Martello
Chief Financial Officer
Designate

Disclaimer

This presentation contains forward looking statements which reflect Management's current views and estimates. The forward looking statements involve certain risks and uncertainties that could cause actual results to differ materially from those contained in the forward looking statements. Potential risks and uncertainties include such factors as general economic conditions, foreign exchange fluctuations, competitive product and pricing pressures and regulatory developments.

Image



Other-text

February 21st, 2012 | 2011 Full Year Roadshow

Title

2011 Full Year Roadshow

Page-text

Jim Singh
Chief Financial Officer

Other-text



Delivering progress sustainably in a New Reality

Image



Image



Image



Image



Image



Image

Image



Image



Image



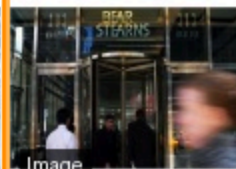
Image

Image



Image

Image



Image



Image

Image



Image



Image



Image



Image

Image



2011: Strong Full Year Performance

Table

	As reported	At constant exchange rates
Sales	83.6 bn	
Organic Growth	+7.5%	
Real Internal Growth	+3.9%	
Trading Operating Profit	12.5 bn	
Trading Operating Profit Margin (vs. 2010 continuing operations)	15.0%	+60 bps
Net Profit (vs. 2010 continuing operations)	9.5 bn	+8.1%
Net Profit Margin (vs. 2010 continuing operations)	11.3%	+130 bps
Underlying EPS (Group)	3.08	+7.8%
Dividend (proposed)	1.95	+5.4%

Other-text

All figures in CHF

Other-text

4

February 21st, 2012

Other-text

2011 Full Year Results Roadshow

Image



Delivering the Nestlé Model in 2011

Table

Obj-text

Former Nestlé Model

Obj-text

Organic growth 5-6%

Obj-text

Increased EBIT margin
in constant currencies

Obj-text

Improvement in capital efficiency

Obj-text

FY 2011

Obj-text

+7.5%

Obj-text

+10 bps

Obj-text

Enhanced Nestlé Model

Obj-text

Organic growth 5-6%

Obj-text

Increased trading operating
margin in constant currencies

Obj-text

Increased underlying EPS
in constant FX

Obj-text

Improvement in capital efficiency

Obj-text

FY 2011

Obj-text

+7.5%

Obj-text

+90 bps

Obj-text

+7.8%

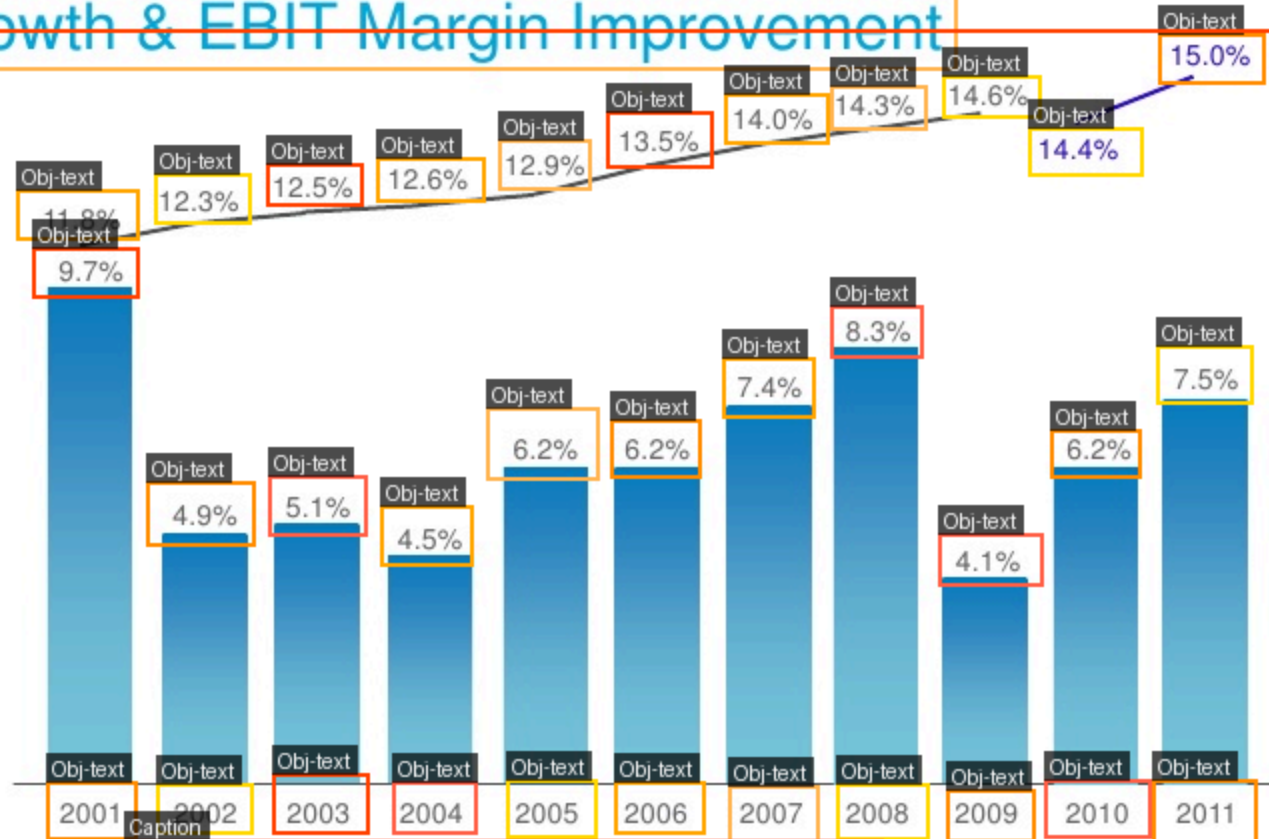
Image



10 years of the Nestlé Model

Figure

Driving Organic Growth & EBIT Margin Improvement



10-year annual averages

Organic Growth 6.4%

Real Internal Growth 3.6%

Organic Growth

EBIT margin *

TOP margin

Caption

* Before net trading items

Data corresponds to published figures – not restated for accounting changes

Image



Figure

Year	Basic EPS	Underlying EPS
2001	0.64	1.72
2002	0.70	1.89
2003	0.72	2.02
2004	0.80	1.93
2005	0.90	2.13
2006	1.04	2.41
2007	1.22	2.80
2008	1.40	2.82
2009	1.60	3.09
2010	1.85	3.32
2011	1.95	3.08

* Underlying EPS, excl. 2001 which is Basic EPS

All figures in

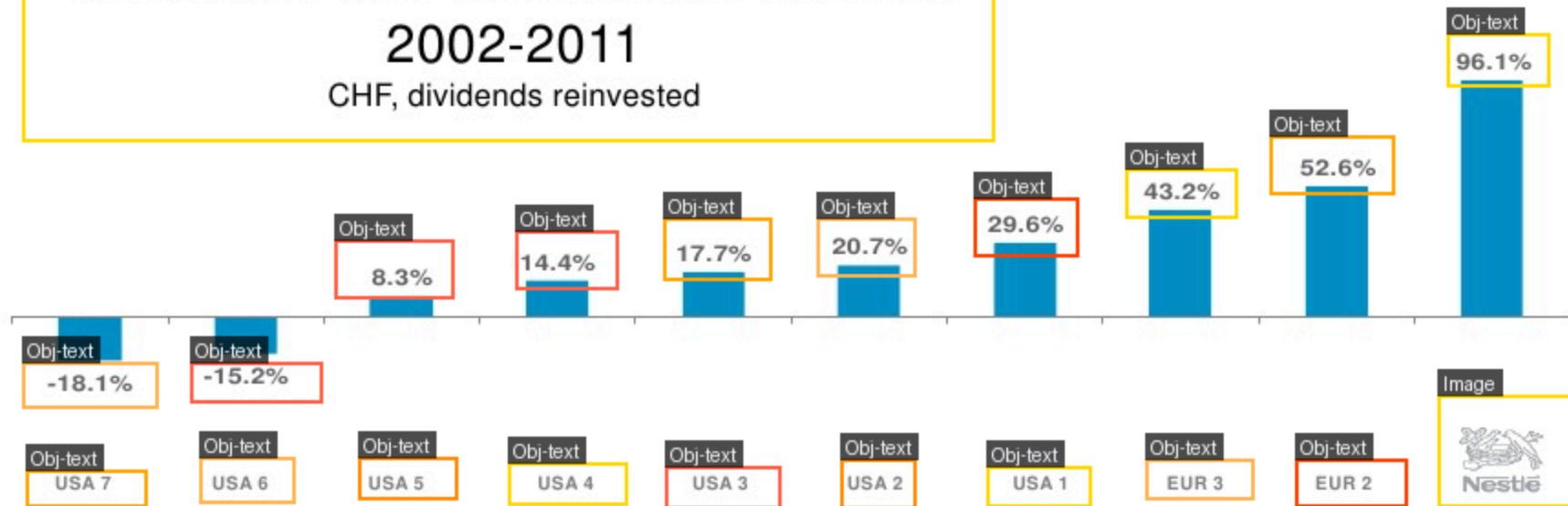
A winning strategy driving superior shareholder returns

Diagram

Obj-text

Nestlé SA Total Shareholder Returns 2002-2011

CHF, dividends reinvested



Image



Page-text

Source: Bloomberg

Image

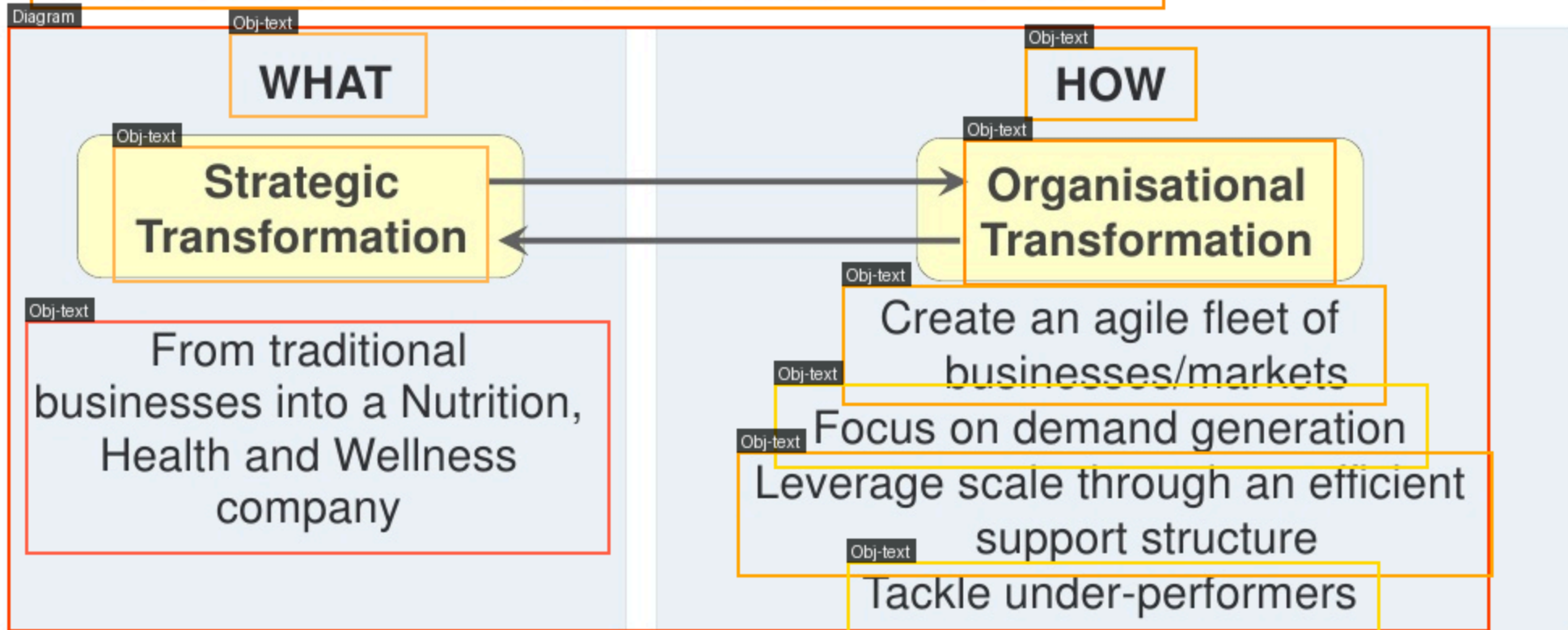


Other-text ther-text

Other-text



The transformational opportunity



Image



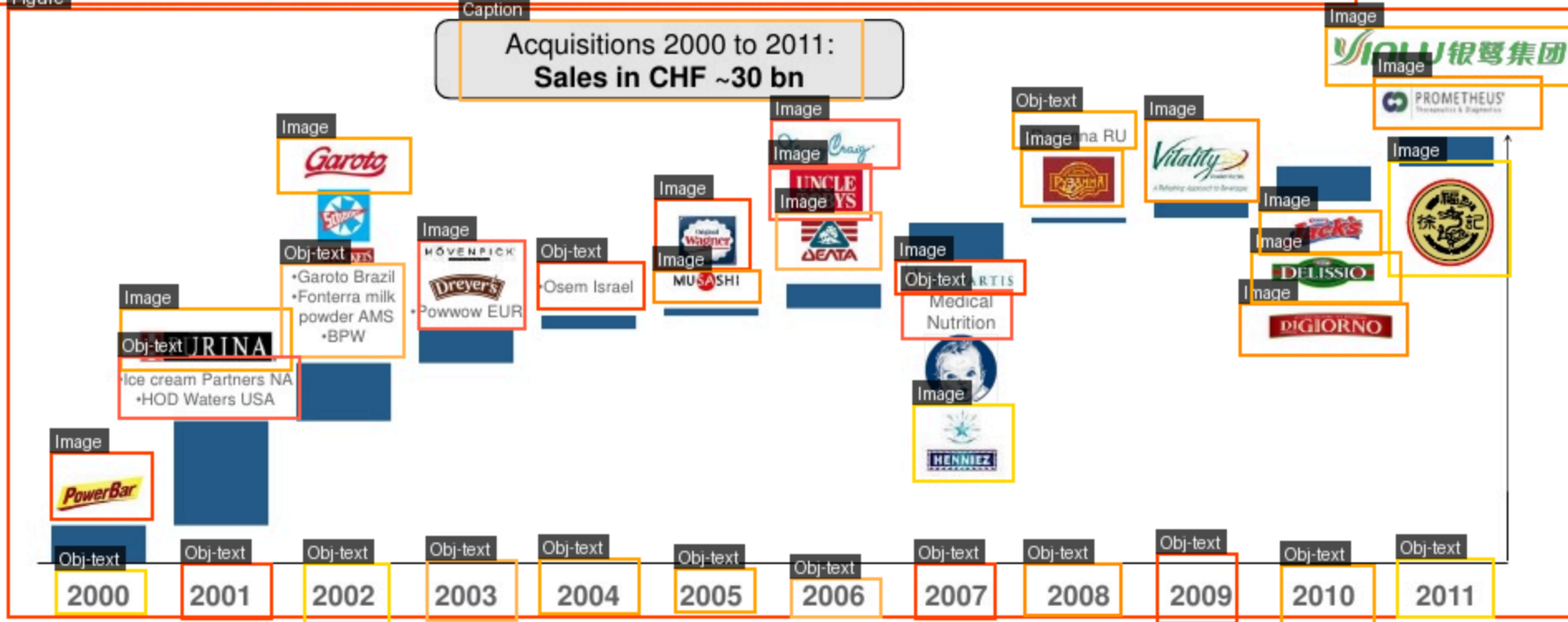
Other-text

Significant acquisitions added new growth platforms and strengthened market leadership

Figure

Caption

Acquisitions 2000 to 2011:
Sales in CHF ~30 bn

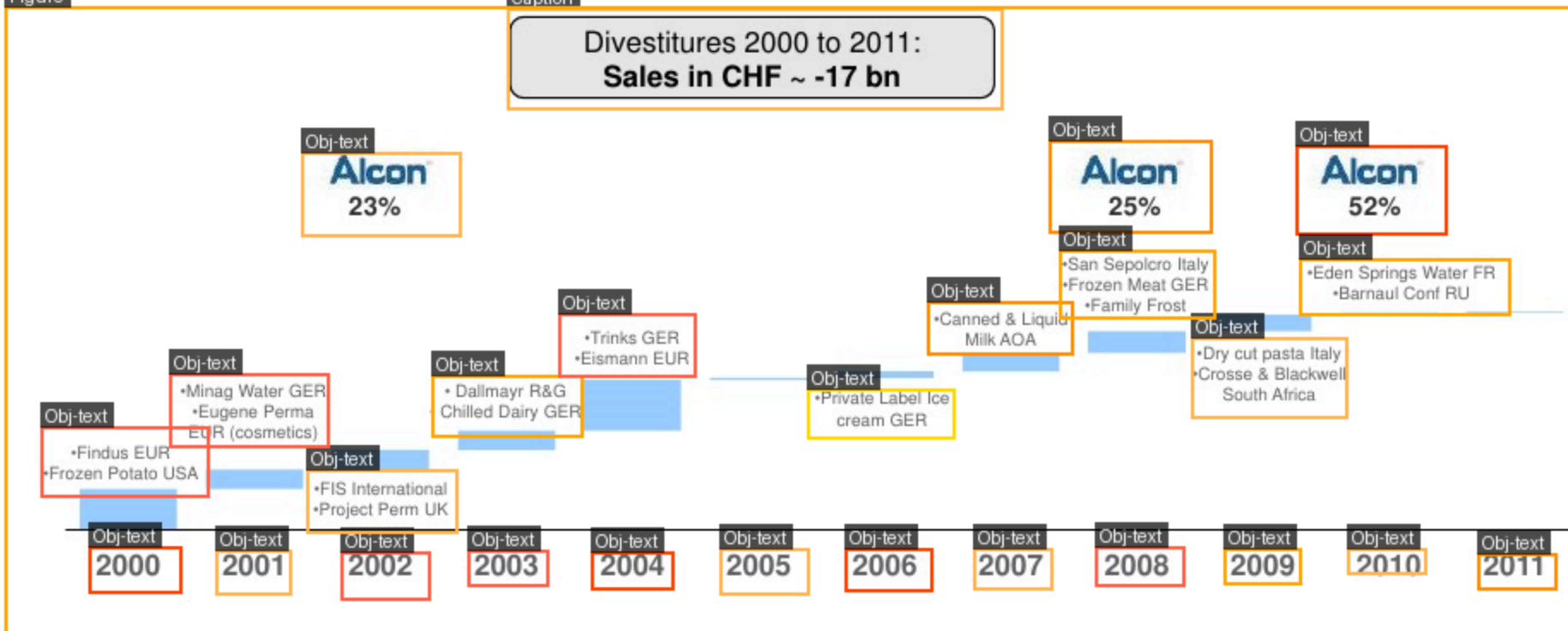


Significant divestitures rationalized the portfolio and eliminated non strategic and loss-making businesses

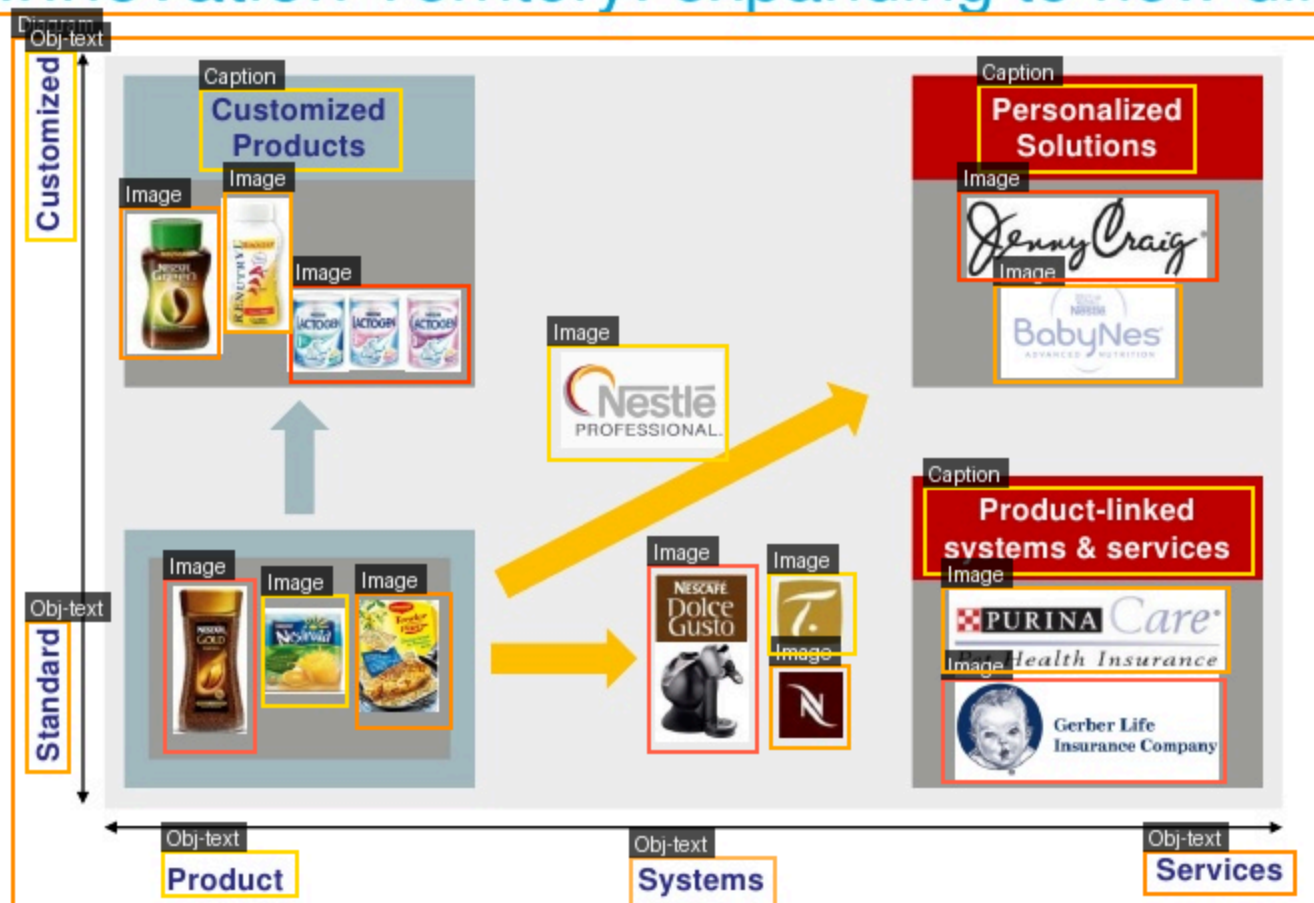
Figure

Caption

Divestitures 2000 to 2011:
Sales in CHF ~ -17 bn



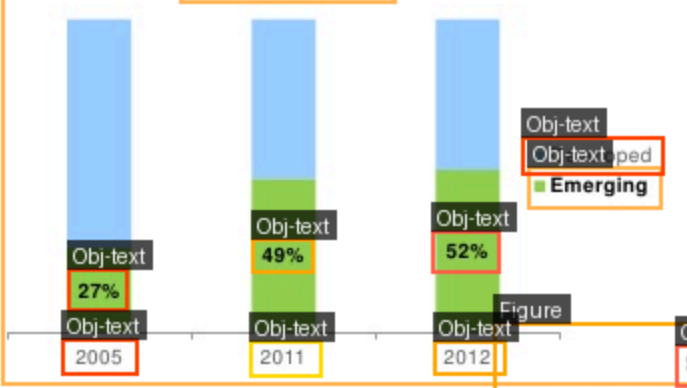
Nestlé Innovation Territory: expanding to new dimensions



Capital expenditure driven by emerging markets, powdered beverages, nutrition and investments in capacity and new products & technology

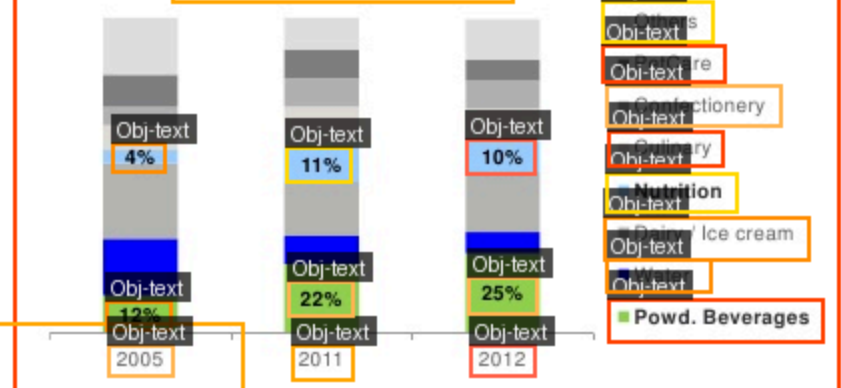
Figure

Caption
Split by Region

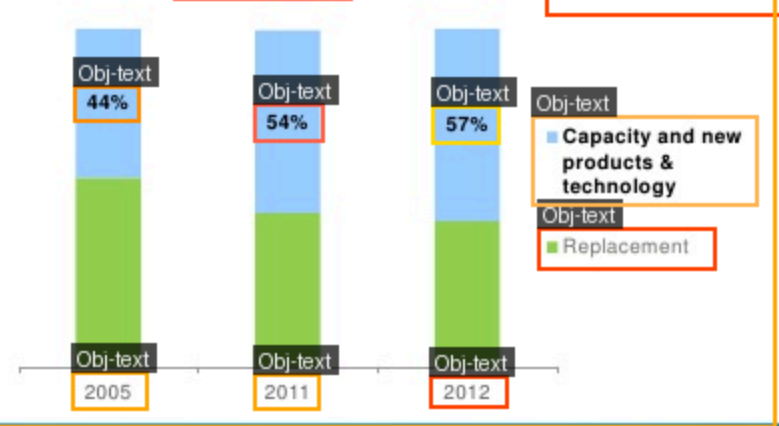


Figure

Caption
Split by Product Category

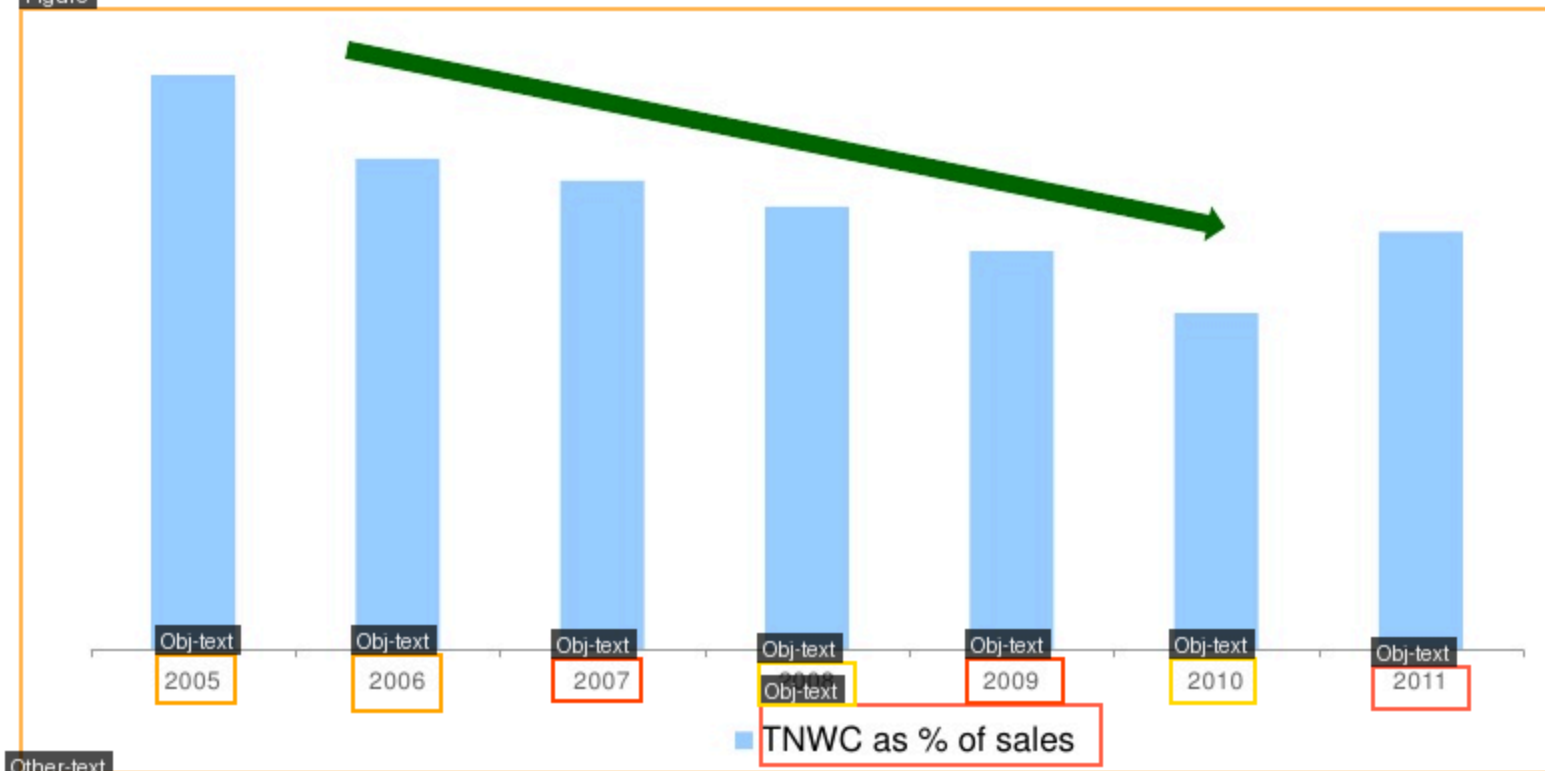


Caption
Split by Type



Trade Net Working Capital is an area of focus and improvement

Figure



Other-text

Notes:

Like for like estimate

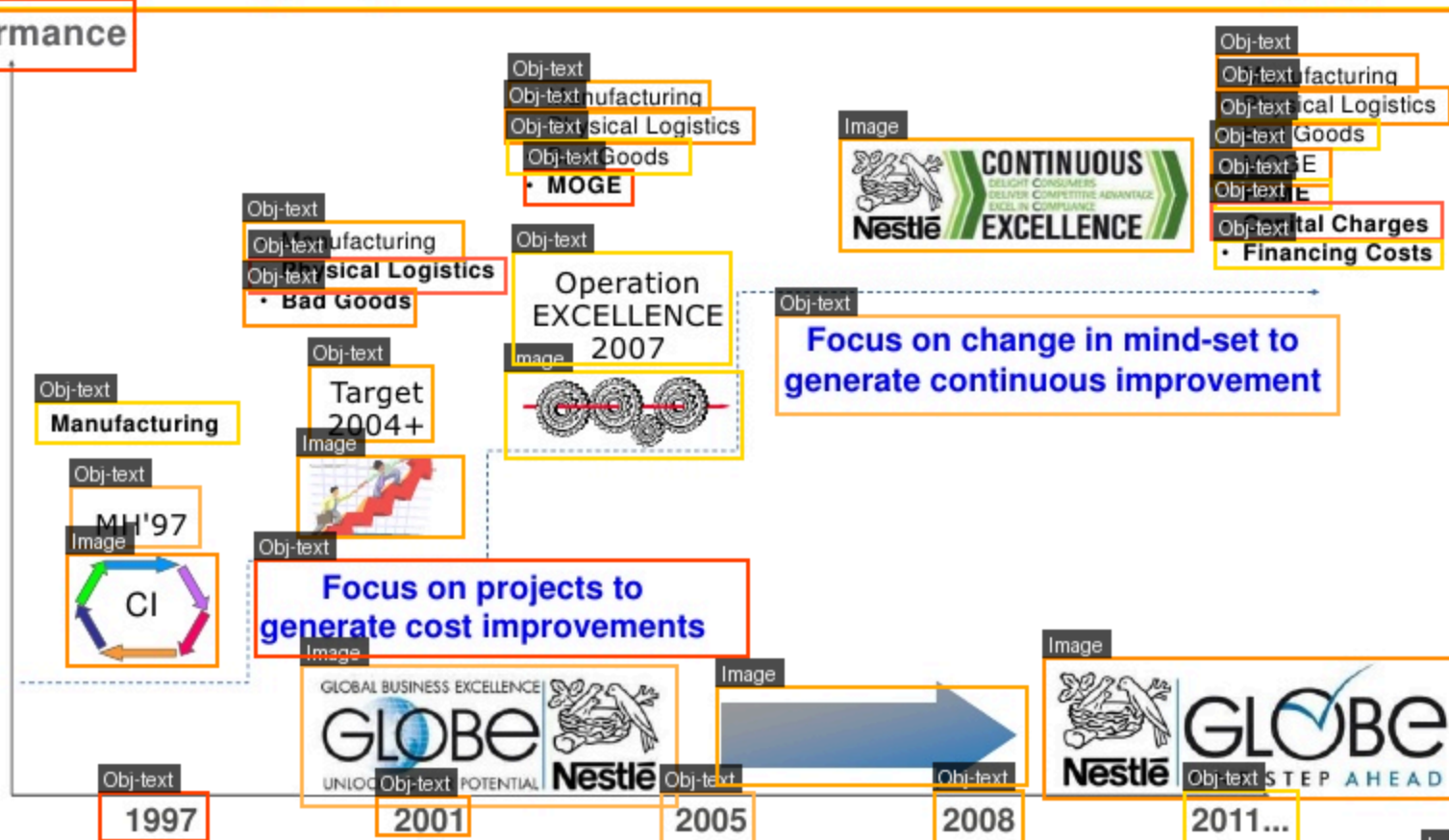
2010 and 2011 figures exclude Alcon, Hsu Fu Chi and Yinlu

Nestlé's Operational Efficiency

Delivering the highest quality, lowest cost & best customer service leveraging GLOBE

Obj-text

Performance



The Nestlé Model

Page-text

- Organic growth 5-6%

Page-text

- Increased trading operating margin in constant currencies

Page-text

- Increased underlying EPS in constant currencies

Page-text

- Improvement in capital efficiency

Image



Other-text

February 21st, 2012

Other-text

2011 Full Year Roadshow

Title

2011 Full Year Roadshow

Page-text

Paul Bulcke

Page-text

Chief Executive Officer

Image



The New Reality

Image



Image